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Master Direction - Illustrative Prudential Norms

1. Introduction

These Directions are issued in exercise of the powers conferred under the Banking Regulation Act. They apply to every commercial bank and set out the minimum prudential requirements that apply.

This paragraph contains a word split across a line break by hyphena-tion, so that the cleaner can be tested on rejoining it correctly.

2. Definitions

In these Directions, unless the context otherwise requires, the terms below bear the meanings assigned to them here.

Capital to Risk-weighted Assets Ratio means the ratio of eligible capital to aggregate risk-weighted assets, as a percentage.

Eligible capital comprises Tier 1 capital and Tier 2 capital, each computed in the manner specified in these Directions.

3. Capital Requirements

Every bank shall maintain a minimum Capital to Risk-weighted Assets Ratio of nine per cent on an ongoing basis.

3.1 Tier 1 Capital

Tier 1 capital shall not be less than seven per cent of risk-weighted assets at any time during the financial year.

3.2 Tier 2 Capital

Tier 2 capital shall not exceed Tier 1 capital for the purpose of computing the overall capital adequacy ratio.

4. Reporting

Every bank shall report its capital position to the Reserve Bank within fifteen days of the close of each quarter.

Non-compliance with these Directions shall attract such action as the Reserve Bank may consider appropriate.